

Malhotra Ice Factory v. State of U.P. and 3 Others

High Court of Judicature at Allahabad · Division Bench · 15 May 2023 · 2023:AHC:104402-DB · WRIT - C No. 8486 of 2023 · By final order dated 15.05.2023 (Neutral Citation 2023:AHC:104402-DB) the Division Bench quashed the impugned order dated 27.07.2019 (demanding Rs.6,88,383 as a Section 126 assessment and Rs.47,50,436 as arrears) and the recovery citation dated 05.01.2023. The department's counsel conceded that no fresh assessment order had been passed after the earlier assessment was quashed and remitted on 09.11.2009, and that the petitioner's objections had not been considered while passing the 27.07.2019 order. The Court directed that, on the petitioner depositing Rs.20 lacs with respondent No. 4 within two weeks, respondent No. 4 fix a date of hearing and make the assessment under Section 126 strictly in accordance with the procedure prescribed under the U.P. Electricity Supply Code, 2005; and, the arrears dispute spanning two Divisions (III and V), directed the Superintending Engineer to decide it within four weeks of the petitioner's objection (to be filed within two weeks). The petitioner agreed to permit removal of the meter, permanent disconnection having been applied for.

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HEADNOTE

The petitioner, Malhotra Ice Factory, challenged a recovery citation dated 05.01.2023 and an order dated 27.07.2019 by which respondent No. 4 had directed it to deposit Rs.6,88,383 as an assessment under Section 126 of the Electricity Act, 2003 and Rs.47,50,436 as arrears of electricity dues. The demand was the latest in a long history: an assessment order of 19.09.2006 under Section 126 had led to Writ Petition No. 59013 of 2006 (disposed 11.01.2007); a further assessment order of 05.02.2007 was quashed and remitted in Writ-C No. 8029 of 2007 by order dated 09.11.2009, with liberty to the department to get the meter tested following the procedure in Smt. Amrawati Devi v. Purvanchal Vidyut Vitran Nigam Ltd.; the respondents, however, passed no fresh assessment order and did not test the meter, but raised monthly bills including arrears, leading to Writ-C Nos. 27352 of 2013 and 18411 of 2017 (common order dated 23.10.2018 directing a fresh order after considering the petitioner's objections), and finally the impugned order of 27.07.2019. Before the Division Bench (Manoj Kumar Gupta and Prashant Kumar, JJ.), the department's counsel fairly conceded that no fresh assessment order had been passed after 09.11.2009 and that the petitioner's objections had not been considered while passing the 27.07.2019 order, and undertook to pass a fresh assessment order and to consider the objections under Clause 6.5 of the U.P. Electricity Supply Code, 2005. The Court quashed the impugned order dated 27.07.2019 and the recovery citation dated 05.01.2023 and directed that, on the petitioner depositing Rs.20 lacs within two weeks, respondent No. 4 make the assessment under Section 126 strictly in accordance with the procedure prescribed under the Supply Code, 2005, and that the Superintending Engineer decide the arrears dispute (which spanned Divisions III and V) within four weeks of the petitioner's objection; the petitioner agreed to permit removal of the meter.

FACTUAL SUMMARY

Malhotra Ice Factory was a consumer of electricity whose assessment and arrears had been in litigation for nearly two decades. An assessment order dated 19.09.2006 under Section 126 of the Electricity Act, 2003 was challenged in Writ Petition No. 59013 of 2006, disposed of on 11.01.2007 with liberty to file objections, on deposit of Rs.1,00,000, restoration of the connection and payment of regular bills. A further assessment order dated 05.02.2007 was challenged in Writ-C No. 8029 of 2007 as violating natural justice; by order dated 09.11.2009 the assessment order was quashed and the matter remitted to the Assessing Authority to pass a fresh order, with liberty to the department to get the meter tested following the procedure laid down in Smt. Amrawati Devi v. Purvanchal Vidyut Vitran Nigam Ltd. The respondents did not pass any fresh assessment order and did not test the meter; instead they raised monthly bills including arrears of past months, which the petitioner challenged in Writ-C Nos. 27352 of 2013 and 18411 of 2017, decided by a common order dated 23.10.2018 directing the Executive Engineer to pass a fresh order taking into account the petitioner's objections and the Court's earlier directions. In purported compliance, the impugned order dated 27.07.2019 directed the petitioner to deposit Rs.6,88,383 as the Section 126 assessment amount and a further Rs.47,50,436 as arrears of electricity dues accrued after a new meter was installed in June 2006, followed by a recovery citation dated 05.01.2023. The petitioner filed WRIT-C No. 8486 of 2023; interim orders (from 27.03.2023) restrained coercive action in pursuance of the recovery citation. The petitioner contended that the Section 126 demand was illegal as no fresh assessment order had been passed and the meter had not been tested, that its objections to the arrears had not been considered, and that the true dues were only about Rs.17 lacs.

1. Where an assessment order under Section 126 of the Electricity Act, 2003 has been quashed and remitted for a fresh order, a demand raised without passing any fresh assessment order (and without testing the meter as directed) is unsustainable; the fresh assessment must be made strictly in accordance with the procedure prescribed under the U.P. Electricity Supply Code, 2005. **order of 15.5.2023 para 3, 6, 8**
2. A demand of arrears of electricity dues raised without considering the consumer's objections filed against the bills cannot stand; the objections must be duly considered (under Clause 6.5 of the U.P. Electricity Supply Code, 2005) before the demand is finalised. **order of 15.5.2023 para 6, 8**
3. Where the assessment and the arrears are quashed for want of a fresh assessment order and non-consideration of objections, the Court may permit fresh assessment on the consumer depositing a part of the disputed amount, and remit the arrears dispute to the appropriate superior officer for decision on objection within a fixed time. **order of 15.5.2023 para 8**

HOLDING-UNITS

INTERPLAY · EA2003::126

RATIO

Section 126 demand raised without a fresh assessment order or meter test, after the earlier assessment was quashed and remitted, is unsustainable and is quashed

QUESTION

Can a demand of assessed dues under Section 126 of the Electricity Act, 2003 and the consequent recovery citation be sustained where, after the earlier assessment was quashed and remitted, no fresh assessment order was passed, the meter was not tested, and the consumer's objections were not considered?

HOLDING

No. After the earlier assessment order dated 05.02.2007 was quashed and remitted by order dated 09.11.2009 (Writ-C No. 8029 of 2007), with liberty to the department to get the meter tested, the respondents passed no fresh assessment order and did not test the meter, but raised monthly bills including past arrears; the impugned order dated 27.07.2019 (demanding Rs.6,88,383 under Section 126 and Rs.47,50,436 as arrears) was passed without a fresh assessment and without considering the petitioner's objections. The department's counsel fairly conceded both defaults. Accordingly the Court quashed the impugned order dated 27.07.2019 and the recovery citation dated 05.01.2023 and directed that, on the petitioner depositing Rs.20 lacs within two weeks, respondent No. 4 fix a date of hearing and make the assessment under Section 126 strictly in accordance with the procedure prescribed under the U.P. Electricity Supply Code, 2005. **order of 15.5.2023 para 3-9**

EVIDENCE *"He fairly concedes that no fresh assessment order had been passed after the order of this Court dated 9/11/2009 in Writ-C No.8029 of 2007."* **order of 15.5.2023 para 6**

EVIDENCE *"respondent No.4 will fix a date for hearing and will proceed to make assessment under Section 126 of the Act strictly in accordance with the procedure prescribed under the U.P. Electricity Supply Code, 2005."* **order of 15.5.2023 para 8**

EVIDENCE *"The impugned order as well as the impugned recovery citation will stand quashed."* **order of 15.5.2023 para 9**

FLAG Compilation of order-sheets (20.03.2023-15.05.2023); the final order of 15.05.2023 is paragraph-numbered (paras 1-9, sub- paras (a)-(c)) and carries Neutral Citation 2023:AHC:104402-DB, but the document bears no printed page numbers, so pins reference the order date/paragraphs.

HOLDING-UNIT · UP-2005::6.5

RATIO

Arrears demand raised without considering the consumer's objections is unsustainable; objections to be considered under Clause 6.5

QUESTION

Can a demand of arrears of electricity dues be finalised and recovered without considering the objections filed by the consumer against the bills?

HOLDING

No. The department's counsel was not in a position to dispute that the petitioner's objections against the bills had not been considered while passing the impugned order dated 27.07.2019, and undertook that the objections against the monthly bills would be duly considered under Clause 6.5 of the U.P. Electricity Supply Code, 2005. Since the arrears (Rs.47,50,436, part of a total demand of Rs.54,38,819) had been demanded without considering the objections, the Court

quashed the demand and, the arrears dispute relating to two Divisions (III and V), directed the Superintending Engineer to decide it within four weeks of the petitioner's objection. [order of 15.5.2023 para 5-8](#)

EVIDENCE “He also is not in a position to dispute that the objections filed by the petitioner from time to time against the bills towards electricity dues, has not been considered while passing the impugned order dated 27/7/2019.” [order of 15.5.2023 para 6](#)

EVIDENCE “the objections filed by the petitioner against the monthly bill, will also be duly considered under Clause 6.5 of the U.P. Electricity Supply Code, 2005.” [order of 15.5.2023 para 6](#)

EVIDENCE “we direct the Superintending Engineer, to decide the dispute relating to arrears of electricity within four weeks of the receipt of objection by the petitioner” [order of 15.5.2023 para 8](#)

PRINCIPLE TAGS

section-126-fresh-assessment-must-follow-code-procedure-after-remand After the earlier assessment was quashed and remitted, no fresh assessment order was passed and the meter was not tested; the Court quashed the Section 126 demand and directed fresh assessment strictly in accordance with the procedure prescribed under the Supply Code, 2005. [order of 15.5.2023 para 3, 6, 8](#)

arrears-demand-quashed-for-non-consideration-of-objections-clause-6.5 The petitioner's objections against the bills had not been considered while passing the impugned order; the Court quashed the arrears demand and directed that the objections be considered (under Clause 6.5) and the arrears dispute decided by the Superintending Engineer. [order of 15.5.2023 para 6, 8](#)

fresh-assessment-permitted-on-part-deposit-arrears-remitted-to-superior-officer The Court permitted fresh Section 126 assessment on the petitioner depositing Rs.20 lacs within two weeks, and remitted the arrears dispute (spanning Divisions III and V) to the Superintending Engineer for decision within four weeks of objection. [order of 15.5.2023 para 8](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — THE CORRECT QUANTUM OF THE ELECTRICITY DUES (THE PETITIONER CLAIMING ONLY ABOUT RS.17 LACS AGAINST THE DEMAND OF ABOUT RS.54.38 LACS)
Left to the fresh assessment under Section 126 and to the Superintending Engineer's decision on the arrears dispute; the Court did not determine the amount payable, directing only a part deposit of Rs.20 lacs pending fresh assessment. [order of 15.5.2023 para 5, 8](#)

NOT DECIDED — THE PETITIONER'S CONTEMPT PETITION AGAINST THE RESPONDENTS FOR PASSING THE 27.07.2019 ORDER IN DEFIANCE OF EARLIER DIRECTIONS
The petitioner stated it had filed a contempt petition; the Court disposed of the writ without adjudicating the contempt. [order of 15.5.2023 para 4](#)

RELATED CASES — SEE ALSO

SCJ-111 — Sandeep Kesarwani - a Section 126 assessment must be made following the prescribed procedure; the procedural discipline the Court insisted on here in directing a fresh assessment strictly per the Code.

SCJ-2628 — Chaman Prakash - a provisional assessment cannot be treated as the final demand without a hearing; cognate to the non-consideration of objections and want of a fresh assessment order vitiating the demand here.

SCJ-2716 — Vikram Singh - a recovery citation is a civil assessment under Clause 8.1(a) read with Section 126, so it must rest on a valid assessment - here the citation fell with the quashing of the assessment.

SCJ-2851 — Pappu - order-sheet on Section 126 recovery machinery; a demand/recovery certificate must conform to the Act and Code, echoed here in quashing a citation raised without a fresh assessment.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Smt. Amrawati Devi v. Purvanchal Vidyut Vitran Nigam Limited and another</i> High Court of Judicature at Allahabad	Laid down the procedure for getting the meter tested in connection with a Section 126 assessment.	Referred to in the recital of the order dated 09.11.2009 as the procedure the department was at liberty to follow to get the meter tested; the department did not do so. order of 15.5.2023 para 3	Court	Referred
<i>Malhotra Ice Factory v. State of U.P. (Writ-C No.</i>	The petitioner's earlier writ, disposed of on 09.11.2009, quashing the	Referred to as the order the respondents defied by passing no	Court	Referred

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
8029 of 2007) High Court of Judicature at Allahabad	assessment order dated 05.02.2007 and remitting the matter to the Assessing Authority to pass a fresh order, with liberty to test the meter.	fresh assessment order and not testing the meter, which vitiated the impugned 27.07.2019 demand. order of 15.5.2023 para 3, 6		

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A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.